SMALL AND MEDIUM ENTERPRISES.

An enterprise is a business establishment or a firm/an organization that provides goods or services to customers with the main aim of making profits.

MICRO ENTERPRISES.

These are small businesses that can only employ four people or workers with annual sales of a maximum of Ug. Shs. 12 million and total assets of maximum of Shs. 12 million.
Examples of such businesses include:

1. Market vendors
2. Hair saloons
3. Kiosks
4. Hawking business
5. Bicycle repairing
6. Roadside sellers
7. Shoe cobblers
8. Groceries

CHARACTERISTICS OF MICRO ENTERPRISES/ BUSINESS UNITS/ ENTITIES.

They require simple technology to operate.

They require very little money to be started.

Their sales are usually low to a maximum of Ug. Shs. 12

million.

They provide one or a few range of goods customers.

They mostly not employ skilled labour.

They are usually sole proprietorship i.e. they rely on the efforts of the owner.

They do not have to be registered before they start their operations out, they only need operating documents from the local authorities.

They usually rely on services of the owners and a few family members.

They do not have permanent premises/at times they do not need fixed premises to operate.
They employ one to only four workers.

SMALL ENTERPRISES.

These are businesses that employ a minimum of 5 and a maximum of 50 workers and their annual sales/turnover is about Shs. 100 million and total assets of maximum of Uganda shillings 100 millions e.g bakeries, restaurants, bookshops, grinding mills etc.

CHARACTERISTICS OF SMALL ENTERPRISES.

- They employ some skilled workers.
- They are easy to start /operate.
- Most of them are sole proprietorship and a few are partnerships.
- They operate under fixed premises and structures.
- They at times use basic and simple technology in production process.
- They rely on external labour in addition to family labour.
- In most cases, they do not require formal registration.
- Their periodical sales are relatively higher than those of the micro business.
- They relatively have well established small business that produce for export either directly or indirectly through large firms.
  They employ 5 to 50 workers.

MEDIUM ENTERPRISES.

These are businesses that employ more than 50-100 workers and their annual sales is more than Ug. Shs. 360 million and total assets of maximum of Ug. Shs. 360 million. Examples of Medium Enterprises include;

Milk processing businesses, Bakeries, Packaging businesses, big grinding mills, big private schools, mattress manufacturers etc.

FEATURES /CHARACTERISTICS OF MEDIUM ENTERPRISES.

- They operate from well-established and permanent business premises.
- They require a lot of capital to be started.
- They use advanced technology and produce relatively on large scale.
- They are formally registered as limited liability companies.
- They produce products for both local and international markets.
- They operate on large premises.
- They employ some skilled workers in addition to family labour.
- They produce good services on large scale.
- They employ 50 to 100 workers.
- They pay taxes to URA.

LARGE ENTERPRISES.

Large enterprises are businesses that employ 100 workers and above, with annual sales turnover of about 360 million Uganda shillings.

CHARACTERISTICS OF LARGE ENTERPRISES.

- Employ over 100 workers.
- Total annual sales of over Uganda Shillings 360 millions.
- Employ skilled labour.
- Operate in permanent premises.
- Use advanced and modern technology.
- They produce goods for exports. etc.

SOURCES OF BUSINESS IDEAS

Innovative ideas can come from a variety of sources and often arise when you least expect them. Here are some common sources of innovative ideas:

a) **Customer Feedback**: Listening to your customers' needs, complaints, and suggestions can provide valuable insights into areas where innovation is needed. Customer feedback can highlight pain points and unmet needs that can be addressed with innovative solutions.

b) **Market Research**: Conducting thorough market research can uncover emerging trends, gaps in the market, and changing consumer preferences. Analyzing market data can help identify opportunities for new products, services, or improvements to existing ones.

c) **Competitor Analysis:** Studying your competitors can reveal areas where you can outperform or differentiate yourself. Innovations can often be inspired by observing what others in your industry are doing and finding ways to do it better or differently.

d) **Cross-Industry Inspiration**: Sometimes, the most innovative ideas come from borrowing concepts or solutions from unrelated industries and applying them in a new context. This cross-pollination of ideas can lead to breakthrough innovations.

e) **Technological Advancements**: Keeping abreast of the latest technological developments can spark ideas for innovative products or processes. Technologies such as artificial intelligence, blockchain, and 3D printing, for example, have opened up new possibilities in various industries.

f) **Problem-Solving**: Identifying common problems or challenges in your field or daily life and brainstorming solutions can lead to innovative ideas. Often, innovation arises from finding more efficient, cost-effective, or user-friendly ways to address these problems.

g) **Creativity Techniques**: Employing creativity techniques such as brainstorming, mind mapping, or the SCAMPER method (Substitute, Combine, Adapt, Modify, Put to another use, Eliminate, Reverse) can help stimulate innovative thinking and generate new ideas.

h) **Networking and Collaboration**: Engaging with a diverse group of people through networking events, conferences, or collaborative projects can expose you to different perspectives and ideas. Collaborating with others can lead to the fusion of ideas and the generation of innovative solutions.

i) **Internal Innovation Programs**: Many organizations have formal innovation programs or departments dedicated to generating and implementing innovative ideas. These programs may encourage employees to submit proposals and provide resources for development.

j) **Personal Experience**: Your own experiences, whether personal or professional, can inspire innovative ideas. Pay attention to your daily life, challenges you face, and moments of frustration or inspiration—they can all be sources of innovation.

k) **Art and Creativity:** Exploring art, literature, music, and other creative outlets can inspire innovative thinking. Creative works often challenge conventional thinking and can spark unique ideas.

l) Environmental and Sustainability Concerns: Increasing awareness of environmental issues and sustainability has led to innovative solutions for conservation, renewable energy, waste reduction, and more.

m) **Government Regulations and Policies**: Changes in regulations or government incentives can create opportunities for innovative businesses and technologies. Stay informed about policy developments in your industry.

n) **Emerging Demographics:** Shifts in demographics, such as aging populations or the rise of Generation Z, can lead to new markets and consumer needs, sparking innovation.

o) **Demographic changes**. Changes in population size, age structure, sex composition, employment level or education and income levels generate innovative opportunities.

p) **New knowledge**. Advancement in science improvement and non-scientific knowledge also creates new products hence creating new ideas. E.g. use of Internet.

q) **Changes in perception mood and meaning**. Innovative opportunities occur when societies generate assumptions, attitude and beliefs in change.

r) **Industry and marketing changes.** Here the opportunities for innovative products/services/business approach are underlined in the industry/market shifts. E.g. closure of some businesses give room for others to expand their businesses.

<u>Sources of capital for small scale enterprises</u>

1. **Personal savings**
2. **Family and friends**
3. **Microfinance institutions**
4. **SACCOs (Savings and Credit Cooperative Organizations)**
5. **Commercial banks (loans)**
6. **Government grants and programs (e.g., Youth Livelihood Programme)**
7. **NGOs and donor funding**
8. **Mobile money and informal lending groups (village savings groups)**
9. **Bootstrapping**:
    - **Definition**: Bootstrapping refers to self-funding your business using your personal savings, revenue generated by the business, or profits reinvested into the company.
    - **Advantages**:
        - Full control: You retain complete control over your business.
        - No debt or equity sharing: You don't owe money to lenders or give up equity to investors.
        - Self-reliance: Bootstrapping can foster resourcefulness and discipline.
    - **Considerations**:
        - Limited capital: You may have limited resources to grow and scale your business.
        - Slow growth: Bootstrapped businesses may take longer to reach their full potential.

10. **Angel Investors**:
    - **Definition**: Angel investors are individuals who provide capital to startups in exchange for equity (ownership) in the company.
    - **Advantages**:
        - Access to capital: Angel investors can provide funding when traditional loans may be unavailable.
        - Experience and guidance: Many angels offer valuable industry expertise and mentorship.
    - **Considerations**:
        - Equity sharing: You give up a portion of your business in exchange for funding.
        - Finding the right match: Finding an angel investor who aligns with your business vision and values can be a challenge.
11. **Venture Capital**:
    - **Definition**: Venture capital (VC) is a form of private equity funding provided by venture capital firms to high-growth startups in exchange for equity.
    - **Advantages**:
        - Substantial funding: VCs typically invest large sums, making it possible to scale rapidly.
        - Networking and expertise: VCs often offer connections, guidance, and industry knowledge.
    - **Considerations**:
        - Equity and control: Venture capitalists may demand significant equity and have a say in business decisions.
        - High expectations: VCs expect high returns, which can lead to pressure for rapid growth and profitability.
12. **Crowdfunding**:
    - **Definition**: Crowdfunding involves raising small amounts of money from a large number of people, typically via online platforms.
    - **Advantages**:
        - Diverse funding sources: Crowdfunding can provide capital from a broad community of backers.
        - Market validation: A successful crowdfunding campaign can demonstrate product demand.

<u>INTERNAL SOURCE</u>

Retained Profit: Profit earned by entrepreneur may be used to finance the future needs of firm.

Reducing Working Capital: By judging the exact requirement, part of working capital may be used for financing the enterprise.

Sale of Assets: By selling fixed assets which are of little use, fund may obtained.

Personal Savings of the Owner: Like PF, insurance policy, investment, building may be used for fund.

Deferred Credit: goods, machine, plant may be\ taken on credit basis for a particular time period by giving bank security to supplier.

EXTERNAL SOURCE:

- Deposits or borrowings from Friend/Relatives.
- Credit facilities from commercial banks
- Terms loans from financial institutions.
- Mortgage loans against fixed assets.
- By issuing Shares or Debentures.
- Public Deposits (Govt. Bonds etc).

THE ROLE/RESPONSIBILITIES/ CONTRIBUTIONS OF SMALL AND MEDIUM ENTERPRISES.

- Creation of employment opportunities. Small and Medium Enterprises employ all categories of labour e.g. unskilled, semi-skilled and skilled labour hence creating employment for them.
- Provision of goods and services. Small and Medium Enterprises provide cheap and affordable

- Provision of government revenue. This is through payment of taxes both direct and indirect taxes which revenue is used by the government to provide social services.

- Provision of market for the society's raw materials. Small and Medium Enterprises buy raw materials from the community to be used in the production of finished products.

- Promotion of the development of infrastructure in the country. Small and Medium Enterprises help in improving the infrastructures like roads, railways and other social infrastructure development like schools and hotels hence leading to development.

- Providing centres for training the local man power. Small and Medium Enterprises act as training grounds for labour hence improving on the skills of the people.

- Contributing incomes to the people in the society. This is as a result of the employment or funding of the people hence enabling them to improve their standards of living.

- Providing social services to the people e.g. small and medium enterprises offer medical services, education which improve the standards of living of the people in the society.

- Recycling of waste materials or products that would have been harmful to the people's health and the environment.

- Participating in community development programs e.g. cleaning of streets or towns, conserving of environment, planting of trees etc.

- Utilizing of the idle resources. Some of these small and medium enterprises use the local available resources which could be under-utilized e.g. land, labour, etc since they use mainly local resources.

- Sponsoring of activities in the community. Many small and medium enterprises help the community by sponsoring activities like sports or games, disadvantaged groups of people etc.

- Providing information and grounds for research. Many small and medium enterprises provide data upon which students and researchers carry out their findings.

- Improvement in food security. This is being done by the manufacturing and processing small and medium enterprises like agro businesses, milk processing, bakeries

ADVANTAGES/BENEFITS/IMPORTANCE OF SMALLAND MEDIUM ENTERPRISES.

- Lead to regional balance. Small and medium enterprises are located anywhere unlike the large enterprises.
- There is easy decision making. In small and medium enterprises, decision is easy since there are few people involved.
- Provide employment opportunities to one's self and family members. This is because most labour employed is family with a few hired ones.
- Easy to manage.
- Small and medium enterprises simplify management due to direct contact with employees and customers.
- There is personal contact with customers. Owners of SMEs are directly involved in marketing and selling of goods hence creating personal contact with their customers.
- Require small market size. SMEs produce on small scale and charge affordable prices since they sell in small quantities.
- Help in bringing products nearer to the customers. This is because they can be established anywhere including in remote areas.
- They are easier to start up. SMEs are set up even using ones personal savings fundraising from friends and family members.
- They enjoy high level of flexibility in areas where there is demand for their products.
- Help to tap available resources. SMEs use locally available idle resources hence minimizing the underutilization of such resources in the country.
- They generate revenue to the government. This is through taxation, license fees, registration fees etc.
- Act as training grounds for business management. This is mainly for the business owners and their workers who eventually set up large enterprises.
- Incur lower operational costs. SMEs do not spend much money on transport, rent, high wage bills and costs of raw materials hence low costs of production.
- They promote creativity and innovations among entrepreneurs, operating different types of businesses resulting into better quality goods.

CHALLENGES/HINDERANCE/ OBSTACLES/ CAUSE OF HIGH RATE OF FAILURE OF SMALL AND MEDIUM ENTERPRISES.

The following are obstacles that are leading to the failure of small and medium enterprises;

- **Limited access to capital and credit**
- **High interest rates on loans**
- **Lack of business skills and training**
- **Poor infrastructure (roads, electricity, internet)**
- **High taxes and regulatory burdens**
- **Market competition (especially from imported goods)**

- **Limited market access and customer base**
- **Inadequate record keeping and financial management**
- **Corruption and bureaucratic delays**
- Improper management of the business. Businesses which are poorly managed due to insufficient use of resources, improper record keeping, and poor pricing strategy make enterprises to incur losses hence failure to operate.

- Limited capital. The insufficient capital stock which is required to produce better technology and other requirements to improve their operation at time leads to failure of business operation.
- Failure to handle customers well/poor customer care. The improper handling of the customers at times lead to business failure as a result of workers being rude to customers and not attending to their needs.
- Unsuitable location of the business. The poor location of the business leads to its failure e.g. locating the business far away from the market/sources of raw materials.
- Limited market for the goods or services. This normally results from stiff competition, changing consumers' tastes and preferences and the competitive pricing.
- Inadequate skilled man power to operate some of the production technologies. This forces businesses to hire expensive foreign labour which reduces the profit margin of the business.
- Stiff competition from imported manufactured products. These products are produced by well-established business producing on large scale at a low cost price hence out competeting the products produced by small and medium enterprises.
- Poor quality products for sale. Low quality products produced do not meet the customer's expectations. This reduces the number of customers of the enterprise as they look for products elsewhere.
- Selection of non-profitable enterprises. At times entrepreneurs choose the most profitable but when it is not a feasible business in the society leading to its failure.
- Limited market research. This results into failure to clearly understand the customers' needs and their buying needs.
- Inadequate support services. These include water supply, electricity, telephone services, insurance etc which make it difficult to operate business.
- Failure to acquire credit services. Small enterprises find it difficult to acquire bank loans due to lack of enough assets and security for loans.
- Industrial unrests which are rampant. Some enterprises fail due to strikes organized by workers at their work place which make it difficult to operate the business.
- Challenge of pricing their products. Small and medium enterprises fail to clearly define their pricing strategy. This results into over pricing their products which eventually make them fail.
- Political instability. This makes it difficult for businesses to operate in some areas of political instability as it scares away the would be customers and investors hence failure of business.
- Non compliance e.g. failure to pay taxes, poor hygiene, incorrect weight and measures.
- Limited land for expansion. This is due to poor nature of land tenure system and results into high

cost to purchase land.

- Bad debtors/over indebtness. These reduce the working capital of these enterprises.

- Unfavorable exchange rates. These increase the cost of production hence failure of SMEs.

- Unreliable sources of supply of raw materials or inputs. This affects the operation of SMEs due to uncommitted suppliers of raw materials.

- Natural disasters like floods, landslides, prolonged droughts. These result into supply rigidities or limited supply of raw materials.

- Inappropriate technology. This is relation to existing labour and other complementary factors.

- Limited commitment by business owners or founders. They at times fail to supervise or monitor their businesses due to lack of personal interest in the business.

- Unfavorable lending terms and conditions. These are in form of high interest rates, guarantors, collateral security.

- Sabotage/hostility from the community. This is as a result of resistance from the society or community to support.

- Poor transport network. The underdeveloped roads, inadequate power supply etc result into high operational costs leading to high rate of failure of SMEs.

- Failure to adequately anticipate cash flow. There is need to balance cash flows. Deficits in the cash flow cause business failure.

- High taxes imposed on SMEs.These reduce the profit margin of entrepreneurs hence discouraging the operation of SMEs.

MEASURES/ SOLUTIONS/ WAYS OF OVERCOMING FAILURE OF SMALL AND MEDIUM ENTERPRISES.

- Locating businesses in areas where they are easily accessed with support services.

- Undertaking market research and development. This helps to come up with new products new and better methods at production which meet the consumers' needs hence out competing the rival firms.

- Establishing good relationship with customers. This is through ensuring that they are always satisfied with their products and they cannot be taken away by the competitors.

- Avoiding over expansion of the business. This should be always done after careful research and analysis as well as identifying the needs/requirements of the business to grow bigger or to open up other branches.

- Ensuring good management at the business. This is through ensuring good working environment that encourages good hiring competent workers and training them to produce better quality goods.

- Saving and re-investing in the business. Invest part of the profits back into the business to ensure that it maintains business capital to run the business operations smoothly.
- Keeping and using up to date information/data on suppliers, customers' tastes and preferences to ensure the businesses are not left behind by the changes taking place.

- Promoting and advertising their products. This can be done by organizing trade fares and exhibitions so as to attract many customers.

- By regularly training their staff to ensure that they are skilled enough to manage their business organizations. This is through organizing workshops, seminars hence helping workers to acquire more skills.

- Monitoring and keeping contacts with competitors. This helps managers of SMEs plan and acquire more skills and experience.
- Forming and being active members of business. Being a member of small scale industries, UMA through which the excess loans market and any other assistance from the government can be got.

- Understanding potential customer. Business success when they clearly identify and determine customer needs and buying habits.

- Having adequate cash reserves. Enough cash for business and personal living experience to lead to success.

- Identifying a profitable business. Businesses need to operate enough profit to pay off costs involved and expand business.

- Proper planning for success to be realized. This is through developing a business plan is essential when one knows the costs for starting and maintaining business success possible.
- Starting enterprises for good reasons when business is started for good reasons like having positive attitude and withstanding potential challenges leads to success.
- Setting good price for products. A reasonable price should be set to enable the enterprise earn profits and at the same time attract more customers.

MEASURES TO BE TAKEN BY THE GOVERNMENT TO PROMOTE/ CHANGE/ FACILITATE THE SMALL AND MEDIUM ENTERPRISES IN UGANDA.

- Reducing on the tax rates as to reduce the cost of production and increase the profit margin hence promoting small and medium enterprise.
- Reducing on the interest rate on capital borrowed. This is done so as to encourage borrowing as it reduces the cost of production hence encouraging entrepreneurs to acquire bank loans and get enough capital to invest in small and medium enterprises.
- Improving on entrepreneurial abilities or skills. This can be done by organizing seminars, workshops for entrepreneurs to go under training.
- Ensuring political stability. This is aimed at reducing risks and uncertainties in the country hence attracting more investors to invest in SMEs.
- Increasing incomes of people. This
- Increases their earnings which increase their savings and capital for investment. It also increases the purchasing power for consumers hence creating market for SMEs.
- Creating macro-economic stability in the market. This is through ensuring stability of exchange rates, prices of products/inflation, interest rate hence stabilizing economic activities in the country hence promoting small and medium enterprises.
- Encouraging the capital inflow into the country. This is done by attracting foreign investors who come along with huge capital to invest hence enhancing SMEs.
- Improving on the technology. This is through carrying out research on better methods of production through technological transfer that enables those enterprises to produce better quality products.
- Encouraging savings. As one creates finance for investment, this can be through creating of SACCOS.
- Increasing the exploitation of the available resources. This helps the SMEs to increase their productive capacity by maximizing the available resources.
- Expanding the market size. This is through joining the regional integration like the East African Community. Providing information about investment opportunities to both local and foreign investors. This can be achieved through associations and authorities like UMA, Uganda Investment Authority.
- Through further privatization of government enterprises so as to encourage private investment as they are attracted locally and internally hence promoting the SMEs.

- Providing credit facilities at low interest rates and also funds for prosperity to low income groups. This can be through programs like NAADs, prosperity for all/"Bona bagaggawale"

- ✓ Through further privatization of government enterprises so as to encourage private investment as they are attracted locally and internally hence promoting the SMEs.

- ✓ Providing credit facilities at low interest rates and also funds for prosperity to low income groups. This can be through programs like NAADs, prosperity for all/"Bona bagaggawale"